

M/S. VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

NAGPUR

AUDITED FINANCIALS STATEMENT

FOR THE FINANCIAL YEAR 2021-22
FOR THE ASSESSMENT YEAR 2022-23



Audited By:
RKAS & CO.
CHARTERED ACCOUNTANTS



INDEPENDENT AUDITOR'S REPORT

To,

The Members of Virtual Galaxy Infotech Private Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Virtual Galaxy Infotech Private Limited** ("the Company"), which comprise the balance sheet as at 31st March 2022, and the statement of Profit and Loss, and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as 'the Financial Statements')

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act read with the Companies (India Accounting Standards) Rule, 2015, as amended (Ind-As) and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2022; the profit and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Financial Statements.



Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Board's Report including Annexures to Board's Report, Business Responsibility Report but does not include the Financial Statements and our auditor's report thereon.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these Financial Statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the



financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledge user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in planning the scope of our audit work and in evaluating the results of or works and to evaluate the effect of the any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



Report on Other Legal and Regulatory Requirements

- 1 As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the "Annexure A", a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
- 2 As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - (c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account
 - (d) In our opinion, the aforesaid Financial Statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
 - (e) On the basis of the written representations received from the directors as on 31st March, 2022 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2022 from being appointed as a director in terms of Section 164 (2) of the Act.
 - (f) Since the Company's turnover as per last audited financial statements is less than Rs.50 Crores and its borrowings from banks and financial institutions at any time during the year is less than Rs.25 Crores, the Company is exempted from getting an audit opinion with respect to the adequacy of the internal financial controls over financial reporting of the company and the operating effectiveness of such controls vide notification dated June 13, 2017; and



(g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

- i. The Company did not have any pending litigation on its financial position in its financial statements.
- ii. The Company did not have any long term contracts including derivative contracts for which there were any material foreseeable losses.
- iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

**FOR AND ON BEHELF OF
FOR R K A S & CO.
CHARTERED ACCOUNTANTS
Firm Registration No.135727W**



**Nagpur
Date: 09/09/2022**

A handwritten signature in blue ink, appearing to read "A. A. Shahu".

**CA. A. A. SHAHU
PARTNER**

**M. NO. : 150960
UDIN: 22150960BCKCSC1954**

ANNEXTURE 'A' TO THE AUDITOR'S REPORT

The Annexure referred to in the Independent Auditors' Report to the Members of the Company on the Financial Statements for the year ended March 31, 2022, we report that:

- 1. In respect of the Company's fixed assets:**
 - a) A)The Company has maintained proper records, showing full particulars, including quantitative details and situation of the fixed Assets.
 - B) The company is maintaining proper records showing full particulars of intangible assets.
 - b) The Company has a program of verification to cover all the items of fixed assets in a phased manner which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the program, certain fixed assets were physically verified by the Management during the year. According to the information and explanations given to us, no material discrepancies were noticed on such verification.
 - c) According to the information and explanations given to us, the records examined by us and based on the examination we report that there are no immovable properties in the name of company, hence this clause is not applicable.
 - d) The Company has not revalued its Property, Plant and Equipment or intangible assets during the year. Therefore, the reporting as per paragraph 3(I) (d) of the order is not required.
 - e) No proceedings have been initiated or are pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder. Accordingly, reporting under clause 3(i)(e) of the Order is not applicable to the Company.



2. a) We are informed that inventories have been physically verified by the Management during the year and also at the end of the year. In our opinion, the frequency of verification is reasonable. In our opinion and according to the explanations given to us, the procedures of physical verification of inventories followed by the Management are reasonable and adequate in relation to the size of the Company and the nature of its business.
- b) In our opinion and according to the information and explanations given to us, the Company is maintaining proper records of inventories. The discrepancies noticed on verification between physical stocks and book records were not more than 10% in each class and have been properly dealt with in the books of accounts.
- c) The Company has been sanctioned working capital limits in excess of ₹ 5 crore, from Bank of Maharashtra on the basis of the Security of the current assets of the Company. The quarterly returns/statements filed by the company with Bank are in agreement with the books of accounts of the Company. As per the review renewal sanctioned letter date 25.03.2022 working capital limit was brought down to 4 crores.
3. During the year, the Company has not made investments, provided any guarantee and security and granted any loans and advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties hence clause 3(iii)a to 3(iii)f is not applicable to the company.
4. In our opinion and according to the Information and explanations given to us, the Company has complied with the provision of Section 185 and 186 of the Act, with respect to loans and investments made and securities offered as Lien.
5. In our opinion, and according to the information and explanations given to us, the Company has not accepted any deposits or there is no amount which has been considered as deemed deposit within the meaning of sections 73 to 76 of the Act and the Companies (Acceptance of Deposits) Rules, 2014 (as amended). Accordingly, reporting under clause 3(v) of the Order is not applicable to the Company.



6. The maintenance of cost records has not been specified by the Central Government under sub section (1) of section 148 of the Companies Act, 2013 for the business activities carried out by the Company. Hence, reporting under clause(vi) of the order is not applicable to the company.
7. According to the records, information and explanations, provided to us, the Company is generally regular in depositing with appropriate authorities undisputed amounts including ESIC if any, P.F., T.D.S., P.T. and GST and other statutory dues applicable to it and no undisputed amounts payable were outstanding as on 31st March 2022 for a period of more than six months from the date they become payable except PT, TDS and P F.
8. According to the information and explanations given to us and the records of the Company examined by us, as at March 31, 2022, there were no such transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).
9. (a) The Company has not default in repayment of loans or other borrowings or in the payment of interest thereon to any lender.
- (b) The Company has not been declared willful defaulter by any bank or financial institution or government or any government authority.
- (c) The Company has not taken any term loan during the year and there are no outstanding term loans at the beginning of the year and hence, reporting under clause 3(ix)(c) of the Order is not applicable.
- (d) Accordingly, to the information and explanation given to us and the procedures performed by us, and on an overall examination of the financial statements of the Company, we report that no funds raised on short term basis have been used for long term purposes by the company.



(e) According to the information and explanations given to us and on an overall examination of the financial statements of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligation of its subsidiary. Accordingly, reporting under clause 3(ix)(e) of the Order is not applicable to the Company.

(f) According to the information and explanations given to us, the Company has not raised any loans during the year on the pledge of securities held in its subsidiary. Accordingly, reporting under clause 3(ix)(f) of the Order is not applicable to the Company.

10. (a) The Company did not raise moneys by way of initial public offer or further public offer (including debt instruments) during the year and hence reporting under clause 3(x)(a) of the Order is not applicable.

(b) During the year, the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partly or optionally) and hence reporting under clause 3(x)(b) of the Order is not applicable.

11. a) To the best of our knowledge and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the period covered by our audit.

b) No report under Section 143(12) of the Act has been filed with the Central Government for the period covered by our audit.

c) According to the information and explanations given to us including the representation made to us by the Management of the Company, there are no whistle-blower-complaints received by the Company during the year.

12. The Company is not a Nidhi Company and the Nidhi Rules, 2014 are not applicable to it. Accordingly, reporting under clause 3(xii) of the Order is not applicable to the Company.



13. In our opinion and according to the information and explanations given to us, all transactions entered into by the Company with related parties are in compliance with Sections 177 and 188 of the Act, where applicable. Further, details of such related party transactions have been disclosed in the Standalone Financial Statements, as required under Indian Accounting Standard (Ind AS) 24, Related Party Disclosures specified in Companies (Indian Accounting Standards) Rules 2015 and prescribed under Section 133 of the Act.
14. a) In our opinion and based on our examination, the Company does not have an internal audit system and is not required to have an internal audit system as per the provisions of section 138 of the Companies Act 2013.
- b) Since the Company is not required to have the internal audit system hence the clause 3(xiv)(b) is not applicable to the company.
15. According to the information and explanation given to us, the Company has not entered into any non-cash transactions with its Directors or persons connected with them and accordingly, provisions of Section 192 of the Act are not applicable to the Company.
16. a) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause 3(xvi)(a) & (b) of the Order is not applicable.
- (b) In our opinion, there is no core investment company within the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016) and accordingly reporting under clause 3(xvi)(c) & (d) of the Order is not applicable.
17. The Company has not incurred any cash loss in the current as well as the immediately preceding financial year.
18. There has been no resignation of the Statutory Auditors during the year. Accordingly, reporting under clause 3(xviii) of the Order is not applicable to the Company.



19. According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the Standalone Financial Statements, our knowledge of the plans of the Board of Directors and Management, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of Balance Sheet as and when they fall due within a period of one year from the Balance Sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the Balance Sheet date, will get discharged by the Company as and when they fall due.
20. Since the provisions of section 135 of the Company Act, 2013 with regard to corporate social responsibility are not applicable to the company hence clause 3(xx) of the order is not applicable
21. The reporting under clause (xxi) is not applicable in respect of audit of standalone financial statements of the company. Accordingly no comment has been included in respect of said clause under this report.

FOR AND ON BEHELF OF
R K A S & CO.
CHARTERED ACCOUNTANTS
Firm Registration No.135727W



Nagpur
Date: 09/09/2022


CA. A. A. SHAHU
PARTNER
M. NO. : 150960
UDIN: 22150960BCKCSC1954

ANNEXTURE 'B' TO THE AUDITOR'S REPORT

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of sub-section 143 of the Companies Act, 2013 is not applicable to the company; hence we have not audited internal financial control over financial reporting of Virtual Galaxy Infotech Private Limited.



VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

BALANCE SHEET AS ON 31ST MARCH 2022

PARTICULARS		Note No.	31-03-2022	31-03-2021
(Amt.in '000)				
I.	<u>EQUITY AND LIABILITIES :</u>			
1	<u>SHAREHOLDERS' FUNDS</u>			
	Share Capital	2.1	1,10,002	1,10,002
	Reserves and surplus	2.2	1,29,965	1,07,477
	Sub-total			
2	Share Application Money			
	Pending Allotment	2.3	0	0
3	<u>NON-CURRENT LIABILITIES</u>			
	Long-Term Liabilities	2.4	64,810	76,200
	Other Long-Term Liabilities	2.5	2,16,097	2,47,642
4	<u>CURRENT LIABILITIES</u>			
	Short-term borrowings	2.6	78,616	63,042
	Trade Payable	2.7	29,289	27,791
	Other Current Liabilities	2.8	12,924	23,937
	Short-term Provisions	2.9	51,245	41,301
	Sub-total		1,72,074	1,56,071
	TOTAL EQUITIES AND LIABILITIES		6,92,948	6,97,392
II.	<u>ASSETS:</u>			
1	<u>NON-CURRENT ASSETS</u>			
	Fixed assets			
	Tangible Assets & Intangible Assets	2.10	4,40,057	4,54,889
2	<u>CURRENT ASSETS</u>			
	Current Investments	2.11	22,416	34,991
	Inventories	2.12	456	455
	Trade Receivables	2.13	1,36,043	1,16,648
	Cash and cash equivalents	2.14	2,881	2,004
	Short-term Loans and Advances	2.15	53,518	48,722
	Other Current Assets	2.16	37,577	39,683
	Sub-total		2,52,891	2,42,503
	TOTAL ASSETS		6,92,948	6,97,392

Notes on financial statements (Refer note-2)
FOR AND ON BEHALF OF VIRTUAL GALAXY INFOTECH PVT. LTD.


DIRECTOR
A. N. Shende


DIRECTOR
S. P. Pande


COMPANY SECRETARY
A. V. Padhye

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur
Dated : 09/09/2022



FOR AND ON BEHALF OF
R K A S & CO.
Chartered Accountants
Firm Registration No.135727W


CA. A. A. SHAHU
PARTNER
M.NO.150960
UDIN: 22150960BCKCSC1954

VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

STATEMENT OF PROFIT AND LOSS ACCOUNT FOR THE PERIOD 01/04/2021 TO 31/03/2022

PARTICULARS		Note No.	31-03-2022	31-03-2021
				(Amt.in '000)
I.	Revenue from operations	2.17	4,26,234	4,20,630
II.	Other income	2.18	1,098	848
III.	Total Revenue (I + II)		4,27,332	4,21,478
IV.	LESS : EXPENDITURE			
	Purchases of Materials		2,27,183	2,24,176
	Changes in inventories of stock-in-trade	2.19	-1	50
	Employee benefit expenses	2.20	65,249	64,068
	Finance costs	2.21	26,068	25,345
	Depreciation and amortization expenses	2.10	45,572	35,194
	Other Expenses	2.22	32,103	42,107
	Total Expenses		3,96,174	3,90,940
V.	Profit before exceptional and extraordinary items and tax (III - IV)		31,158	30,538
VI.	Exceptional items		0	0
VII.	Profit before extraordinary items and tax (V - VI)		31,158	30,538
VIII.	Extraordinary items		0	0
IX.	Profit before tax (VII - VIII)		31,158	30,538
X.	Tax expense : Current tax		8,670	8,496
XI.	Profit (Loss) for the period from continuing operations (IX - X)		22,488	22,042
XII.	Profit / (loss) from discontinuing operations		0	0
XIII.	Tax expense of discontinuing item		0	0
XIV.	Profit / (loss) from Discontinuing operations (after tax) (XII - XIII)		0	0
XV.	Profit / (loss) for the period (XI + XIV)		22,488	22,042
XVI.	Earning per equity share :	2.23	2	2

FOR AND ON BEHALF OF VIRTUAL GALAXY INFOTECH PVT. LTD.


DIRECTOR
A. N. Shende


DIRECTOR
S. P. Pande


COMPANY SECRETARY
A. V. Padhye

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur
Dated : 09/09/2022



FOR AND ON BEHALF OF
RKAS & CO.
Chartered Accountants
Firm Registration No.135727W


CA. A. A. SHAHU
PARTNER
M.NO.150960
UDIN: 22150960BCKCSC1954

VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

CASH FLOW STATEMENT

(Amt.in '000)

S.No.	Particulars	Note No.	31-03-2022	31-03-2021
1	CASH FLOW FROM OPERATING ACTIVITIES:			
	Net Profit before tax as per statement of Profit and Loss			
	Add/(less):			
	Depreciation, amortisation and impairment	2.10	31,158	30,538
	Interest Income	2.18	45,572	35,194
	Dividend Income	2.18	-683	-683
2	Operating profit before changes in working capital		0	0
	(Increase)/Decrease in trade receivables	2.13	76,047	65,049
	(Increase)/Decrease in Inventories	2.12	-19,395	51,304
	(Increase)/Decrease in loans and advances	2.15	-1	50
	(Increase)/Decrease in Other current Assets	2.16	-4,796	-26,818
	(Increase)/Decrease in other non-current Assets	2.11	2,106	-1,208
	Increase/(Decrease) in Trade payables	2.7	12,575	-25,527
	Increase/(Decrease) in provisions	2.9	1,498	-11,345
	Increase/ (Decrease) in other current Liabilities	2.8	9,944	5,382
	Increase/(Decrease) in long term liabilities	2.4	-11,013	-2,233
	Increase/(Decrease) in other long term liabilities	2.5	-11,390	65,496
	Increase/(Decrease) in Short term borrowings	2.6	-31,545	-45,303
3	Cash Generated from operations		15,574	-17,865
	Taxes paid		39,604	56,982
4	Net cash from operating activities (A)		8,670	8,496
5	Cash flow from investing activities		30,934	48,486
	Purchase of tangible & Intangible fixed assets(Net position)	2.10	-30,740	-56,718
	Purchase of Long Term Investments		0	0
	sales of tangible fixed assets	2.10	0	0
	Sales of long-term investments		0	0
	interest and dividend received	2.18	0	0
6	Net cash from investing activities (B)		683	683
7	Cash flows from financing activities		-30,057	-56,035
	Proceeds from Share application money	2.3	0	0
	Dividend paid		0	0
8	Net cash from financing activities (C)		0	0
9	Net increase /Decrease in cash and cash equivalents		0	0
	(A+ B+C)		877	-7,549
	opening balance of cash and cash equivalents		2,004	9,553
	Closing Balance of cash and cash equivalents		2,881	2,004

FOR AND ON BEHALF OF VIRTUAL GALAXY INFOTECH PVT. LTD.


DIRECTOR
A. N. Shende


DIRECTOR
S. P. Pande

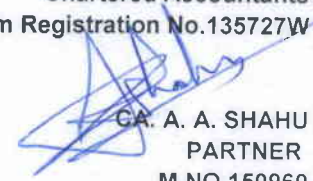

COMPANY SECRETARY
A. V. Padhye

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur
Dated : 09/09/2022



FOR AND ON BEHALF OF
R K A S & CO.
Chartered Accountants
Firm Registration No.135727W


CA. A. A. SHAHU
PARTNER
M.NO.150960
UDIN: 22150960BCKCSC1954

VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

Note 2: Notes on accounts as per revised schedule VI

SHARE HOLDERS FUND

The Company has only one class of shares, referred to as equity shares having a par value of Rs. 10/- per share. Each holder of equity shares is entitled to one vote per share. The right of the shareholders is governed by the Articles and Association and the Companies Act.

2.1 SHARE CAPITAL

A. PARTICULARS	Number	(Amt.in '000)	
		31-03-2022	31-03-2021
AUTHORISED CAPITAL :			
1,50,00,000 Equity Shares of Rs. 10/- each	1,50,00,000	15,00,00,000	15,00,00,000
ISSUED, SUBSCRIBED & PAID UP CAPITAL :			
11000160 Equity Shares of Rs. 10/- each fully paid	1,10,00,160	1,10,002	1,10,002
		1,10,002	1,10,002

B Details of Share Holding of more than 5% shares are set out below

Particulars	31-03-2022		31-03-2021	
	No. of share held	% of share holding	No. of share held	% of share holding
1. Avinash N. Shende	51,00,000	46.36%	51,00,000	46.36%
2. Sachin P. Pande	51,00,000	46.36%	51,00,000	46.36%

2.2 RESERVES AND SURPLUS

Particulars	31-03-2022	31-03-2021
<u>Surplus in the statement of profit and loss</u>		
Opening Balance	1,07,477	85,435
Less: Bonus shares issued	0	0
Add: Profit for the year	22,488	22,042
Less: Transfer to reserve, if any	0.00	0
Closing Balance	1,29,965	1,07,477
Total	1,29,965	1,07,477



VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

2.3 SHARE APPLICATION MONEY PENDING ALLOTMENT

		(Amt.in '000)
PARTICULARS	31-03-2022	31-03-2021
Total	0	0

2.4 LONG TERM LIABILITIES

Particulars	31-03-2022	31-03-2021
Long-Term Borrowings :		
Term Loan from Bank of Maharashtra		
Account No.60192459909	1,199	6,806
Account No. 60357769879	38,806	43,794
Account No. 60359053729 (GECL loan)	14,812	19,270
Account No. 60356252763	836	6,330
Account No. 60408658799 (Covid loan)	9,157	0
Total	64,810	76,200

2.5 OTHER LONG TERM LIABILITIES:

Particulars	31-03-2022	31-03-2021
Unsecured Loan		
From NBFC	13,069	18,128
From Director	7,800	7,800
From Others	1,84,881	1,45,381
Creditors for Fixed Assets	10,347	76,333
Total	2,16,097	2,47,642

2.6 SHORT TERM BORROWINGS:

Particulars	31-03-2022	31-03-2021
Bank of Maharashtra Cash-credit Account	72,102	56,551
Axis Bank OD A/c	6,514	6,491
Total	78,616	63,042

2.7 TRADE PAYABLES:

Particulars	31-03-2022	31-03-2021
Sundry creditors for purchases	29,289	27,791
Total	29,289	27,791



VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

2.5 Annexure Other Long Term Liabilities

Particulars	31-03-2022	31-03-2021
Unsecured Loan		
Bajaj Finance Ltd.	2,147	2,607
Edelweiss Finance	1,633	3,211
Fullerton India	0	917
HDFC Bank	1,166	2,575
Hero Fincor	1,486	1,258
ICICI Bank	4,206	1,306
Capital Float	0	1,011
HDB Finance	0	650
Kotak Mahindra	669	661
Magma Finance	1,410	2,265
Shriram Finance	0	624
Tata Capital	352	1,043
Avinash Shende	7,800	7,800
Shilpa Shende	1,400	0
Sampada Pande	1,400	0
Shruti Deshpande	500	500
Farah Taraporewala	1,700	1,700
Homi Taraporewala	600	600
Yasmin Taraporwala	1,700	1,700
S.D. Shangarpawar	1,745	1,745
Axis Enterprises	2,500	2,500
Prithvi Dealers Pvt. Ltd.	13,500	13,500
Yogiraj Deal Trader	7,800	7,800
Shahwat Dilip Singh	450	450
Sunita Ithape	250	250
Infocraft Technologies Pvt. Ltd.	34,300	34,300
Shruti Vinmay Pvt. Ltd.	10,000	10,000
Vijay Menon	73,500	58,500
Manghat Mani	6,000	6,000
SIDH Innoventure	1,836	1,836
Angha Patrikar	2,000	0
Yashvant Ambatkar	4,700	0
Nairs EIS	15,000	0
Shree Enterprises	4,000	4,000
Total	2,05,750	1,71,309



VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

2.8 OTHER CURRENT LIABILITIES:

Particulars	31-03-2022	31-03-2021
Advance from Customer	12,924	23937
Total	12,924	23,937

2.9 SHORT TERM PROVISIONS:

Particulars	31-03-2022	31-03-2021
Salary Payable	22,050	18,264
Provident Fund Payable	15,074	8,187
Profession Tax Payable	252	277
TDS Payable	3,942	3,772
GST Payable	1,067	1,790
Rent Payable	132	107
Other Provision	0	408
Interest Payable	58	0
Provision for Taxation	8,670	8,496
Total	51,245	41,301



FIXED ASSETS

GROSS BLOCK											NET BLOCK			
Particulars	Cost As on 1/4/2021	Additions before 30.09.2021	Additions after 30.09.2021	Deductions during the yr.	Total	Dep. Amount	During previous yr.	During current yr.	Total Depreciation	W.D.V. AS ON 31-03-2021	W.D.V. AS ON 31-03-2022			
Tangible Asset														
Plant & Machinery	4,279	0	0	0	4,279	3,937	83	66	4,003	342	276			
Electrical Installation	577	0	0	0	577	556	9	6	562	21	15			
Furniture & Fixture	898	0	0	0	898	879	8	6	885	19	13			
Generator	341	0	0	0	341	310	7	6	316	31	25			
Goddess Idol	46	0	0	0	46	0	0	0	0	46	46			
Air Conditioner	219	0	0	0	219	141	25	19	160	78	59			
Projector	61	0	0	0	61	53	2	2	55	8	6			
Data Centre	1,45,241	0	0	0	1,45,241	75,141	11,307	12,752	87,893	70,100	57,348			
Office Interior	1,863	0	0	0	1,863	1,702	62	44	1,746	161	117			
Water Cooler	32	0	0	0	32	30	2	2	32	2	0			
BOT Asset (The Wardha District Central Co-op Bank)	3,223	0	0	0	3,223	3,126	58	36	3,162	97	61			
BOT Asset (The Buldhana District Central Co-op Bank)	53,653	0	20,197	0	73,850	16,665	958	7,010	23,675	36,988	50,175			
BOT Asset (The Osmanabad District Central Co-op Bank)	73,678	0	26,678	0	1,00,356	27,754	7,507	10,663	38,417	45,924	61,939			
BOT Asset (The Jalna District Central Co-op Bank)	47,148	0	18,709	0	65,857	7,181	7,181	7,236	14,417	39,967	51,440			
Software (CBS E- Banker)	1,15,298	18,436	0	0	1,33,734	45,432	6,619	6,687	52,119	69,866	81,615			
Software (ERP)	31,851	0	0	0	31,851	24,125	1,359	1,037	25,162	7,726	6,689			
Software V- Pay	1,83,514	0	0	53,280	1,30,234	0	0	0	0	1,83,514	1,30,234			
Total of Tangible & Intangible Assets	6,61,921	18,436	65,584	53,280	6,92,661	2,07,032	35,187	45,572	2,52,604	4,54,889	4,40,057			



VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

2.11 CURRENT INVESTMENTS :

Particulars	31-03-2022	31-03-2021
F.D. with Bank of Maharashtra	5,068	17,991
F.D. with Axis Bank	7,348	7,000
Investment in SIP fund Shares	10,000	10,000
Total	22,416	34,991

2.12 INVENTORIES :

Particulars	31-03-2022	31-03-2021
stock-in-trade	456	455
Total	456	455

2.13 TRADE RECEIVABLES:

Particulars	31-03-2022	31-03-2021
Trade Receivables outstanding for a period exceeding six months from the date they were due for payment		
Secured-considered good	0	0
Unsecured-considered good	16,055	10,420
Other trade receivables		
Unsecured-considered good	1,19,988	1,06,228
Total	1,36,043	1,16,648

2.14 CASH AND CASH EQUIVALENTS:

Particulars	31-03-2022	31-03-2021
Cash in Hand	18	16
Cash with Banks		
Bank of Maharashtra	501	206
ICICI Bank	1,248	1,035
Axis Bank 411903	635	306
RBL Bank	0	25
Axis Bank 53795	380	416
RBL Bank 12411	99	0
sub-total	2,863	1,988
Total	2,881	2,004



VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

2.15 SHORT TERM LOANS AND ADVANCES:

Particulars	(Amt.in '000)	
	31-03-2022	31-03-2021
Salary & Tour Advance to employees-unsecured,considered good	8,705	10,147
Advance against Purchases	4,351	19,541
Loan & Advances to others	0	1,000
Loan & Advances to Related Parties	40,462	18,034
Total	53,518	48,722

2.16 OTHER CURRENT ASSETS:

Particulars		
	31-03-2022	31-03-2021
Telephone Deposit	2,001	1,482
Security Deposit	5,667	11,052
Rent Deposit	1,561	1,561
T. D. S.	11,644	11,444
M.S.E.B. Deposit	19	19
Deposit with IRCTC	1,000	0
E. M. D.	12,973	11,414
Income tax paid	2,588	2,587
GST Set off	124	124
sub-total	37,577	39,683
Preliminary Expenses (to the extent not w/off)	0	
Less: written off for the year	0	
sub-total	0	0
Total	37,577	39,683



VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

2.17 REVENUE FROM OPERATIONS:

Particulars	31-03-2022	31-03-2021
Sales / Others	3,87,107	4,00,477
Export	39,127	20,153
Total	4,26,234	4,20,630

2.18 OTHER INCOME :

Particulars	31-03-2022	31-03-2021
Other Income	206	165
Interest Received	892	683
Total	1,098	848

2.19 CHANGES IN INVENTORIES OF STOCK IN TRADE:

Particulars	31-03-2022	31-03-2021
Closing Stock at the end of the year	456	455
Less : Opening Stock at the beginning of the year	455	505
Total	-1	50

2.20 EMPLOYEE BENEFITS EXPENSES :

Particulars	31-03-2022	31-03-2021
Salaries, allowances and other benefits	61,793	60,992
Contribution to provident fund and other Fund	3,456	3,076
Total	65,249	64,068

2.21 FINANCE COSTS:

Particulars	31-03-2022	31-03-2021
Interest and Bank Commission & Insurance	26,068	25,345
Total	26,068	25,345



VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

2.22 OTHER EXPENSES:

Particulars	(Amt.in '000)	
	31-03-2022	31-03-2021
Rent	798	519
Freight, Octroi & Cartage	0	23
Conveyance	46	48
Electricity Charges	2,228	2,508
Telephone & Internet charges	2,253	1,959
Water Charges	37	25
Repairs & Maintenance	1,662	1,546
Audit Fees	30	30
Legal & Professional Charges	1,940	1,038
Stationery & Printing	97	114
Web site Development	0	81
Office Expenses	1,677	965
Site Development expenses	1,898	4,236
Data entry Charges	0	117
Courier Charges	221	456
Advertisement	118	96
Business Promotion Expenses	2,220	2,669
Tender Fees	200	684
Travelling & Tour Expenses	5,439	6,010
Security Charges	215	293
Discount	870	861
Lease Line Charges	32	389
Miscellaneous Expenses	431	337
Registration & Membership fees	0	635
Contract Work Expenses	0	3,425
Bank Transaction fees	4,612	1,550
Commission	0	32
Technical charges paid	0	605
Director Remuneration	2,400	9,200
Transportation Expenses	509	0
Other Expenses	2,170	1,656
Total	32,103	42,107

2.23 EARNING PER SHARE:

Particulars	31-03-2022	31-03-2021
Net profit after tax	22488	22042
Number of Equity Share issued	11000	11000
Basic earnings per share of Rs.10/- each	2	2

2.24 AMOUNT IN THE FINANCIAL STATEMENTS

Amounts in the financial statements are rounded off to rupees in thousands.



VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

2.25 DISCLOSURE UNDER MICRO, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT ACT, 2006

The company has not received any information from its vendors regarding their status under Micro, Small and Medium Enterprises Development Act, 2006. Nonetheless, there are no amounts for a period beyond the stipulated period as specified under Micro, Small and Medium Enterprises Act, 2006.

2.26 PAYMENT TO AUDITORS

Particulars	31-03-2022	31-03-2021
Statutory Audit	30	30
Total	30	30

2.27 CONFIRMATION OF BALANCES

The Company has not generally called for confirmation from trade payables, trade receivables, unsecured loans, loans and advances, deposit from parties/deposit with the parties etc. Management has however, confirmed that these accounts are scrutinised and that these are current and are recoverable and payables.

2.28 RELATED PARTY TRANSACTION

Balance Amount Outstanding:

Name	Name of Relation	Nature of Trans.	(Amt, 000) Amount as on 31.3.2022
M/s. Paynext Pvt. Ltd.	Both Director's are Director in the company and holding 100% shares	Business Advance Sundry Creditors	22,348 6,022
M/s. Sampada Infosolutions Pvt. Ltd.	Both Director's are Director in the company and holding more than 25% shares	Business Advance	3,934
M/s. Virtual Galaxy Fintech Pvt. Ltd.	Both Director's are Director in the company and holding 100% shares	Business Advance	140
M/s. Virtual Galaxy Insurance Broker Pvt. Ltd.	Both Director's are Director in the company and holding more than 25% shares	Business Advance	5,180
M/s. SIP Fund Pvt. Ltd.	Both Director's are Director in the company and holding more than 25% shares	Sundry Debtors Business Advance	15,020 8,860
Mr. Avinash Shende Mr. Sachin Pande	Key Management Personnel (KMP) Key Management Personnel (KMP)		
Mrs. Sampada Pande	Relative of (KMP)	Salary	1,415
Mrs. Shilpa Shende	Relative of (KMP)	Salary	1,415

2.29 PREVIOUS YEARS FIGURES

Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure under Schedule III of the Companies Act 2013.



VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

BALANCE SHEET ABSTRACT AND THE COMPANY'S GENERAL BUSINESS PROFILE

BALANCE SHEET ABSTRACT AND THE COMPANY'S GENERAL BUSINESS PROFILE		
I	Registration Details	
	Registration/CIN	011-110645
	State code	11
	Balance sheet date	31-03-2022
II	Capital raised during the year	
	Public/fresh	NIL
	Right issue	NIL
	Bonus issue	NIL
	Private placement	NIL
III	Position of mobilisation and deployment of funds	
	Equities and liabilities	
	Assets	6,92,948
		6,92,948
	Sources of funds	
	Share capital	
	Reserves and surplus	1,10,002
	Long term liabilities	1,29,965
	Short term Borrowing	2,80,907
	Trade payables	78,616
	Other current liabilities	29,289
	short term provisions	12924
		51,245
	Application of funds	
	Net fixed assets	
	Long term loans and advances	4,40,057
	Current investments	0
	Inventories	22,416
	Trade receivables	456
	Cash and cash equivalents	1,36,043
	Short term loans and advances	2,881
	Other Current Assets	53,518
		37,577
IV	Performance of the Company	
	Turnover and other income	
	Total expenditure	4,27,332
	Profit before tax	3,96,174
	Net earning per share	31,158
		2
V	Generic names of principle products/service, of the Company	
	Product description :: INFORMATION TECHNOLOGY PRODUCTS AND RELATED SERVICES	

For and on behalf of VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

Director
A. N. Shende

Director
S. P.Pande

Company Secretary
A. V. Padhye

AS PER OUR REPORT OF EVEN DATE ATTACHED.



For and on behalf of
R K A S & CO.
Chartered accountants
FRN No.135727W

CA. A. A. Shahu
Partner
M.No.150960

Nagpur
Dated: 09/09/2022

VIRTUAL GALAXY INFOTECH PVT. LTD.

SIGNIFICANT ACCOUNTING POLICIES:

NOTE I: Accounting policies adopted by the Company

Basis of preparation of financial statements

These financial statements are prepared in accordance with Indian Generally Accepted Accounting Principles (GAAP) under the historical cost convention on accrual basis except for certain financial instrument which are measured at fair values. GAAP comprises mandatory accounting standards as prescribed under section 133 of the Companies Act 2013 (the Act) read with Rule 7 of the Companies (Accounts) Rules, 2014, the provisions of the Act(to extent notified). Accounting polices have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires change in the accounting policy hitherto in use.

Use of Estimates

The preparation of financial statements require estimates and assumptions to be made that affect the reported balances of assets as on the date of the financial statements and the reported amount of revenues and expenses during the reporting period. All asset and liabilities have been classified as current or noncurrent as per the company's normal operating cycle and other criteria set out in Schedule III to the Companies Act, 2013. Accounting estimates could change from period to period. Actual results could differ from these estimates.

The following significant accounting policies are adopted in the preparation of these financial statements:

1. Revenue recognition

- (a) Sales are recognized when goods are supplied and are recorded net of discounts. Sales revenues are presented net of value added taxes in the statements of profit and loss.
- (b) Income from other receipts is recognized on its completion and on its acceptance by the customers.
- (c) Dividend income is accounted for in the year in which the right to receive the same is established.
- (d) Interest income is recognized using the time proportion method, based on rates implicit in the transaction.

2. Fixed Assets

Tangible assets shown under gross block are valued at cost of acquisition inclusive of inward freight, duties, taxes and other incidental expenses related to its acquisition. All such direct costs are capitalized when the tangible assets are ready for use. Management has capitalized the cost of software development incurred on V-Pay. In fixed Asset it is shown under software development of V-Pay.



VIRTUAL GALAXY INFOTECH PVT. LTD.

3. Depreciation and amortization

(a) Depreciation on tangible assets has been calculated in accordance with the Schedule II of the Companies Act, 2013 as under:

- (i) All assets on written down value basis.
- (ii) Management has not charged the depreciation to the Software Development called V – Pay, since it is in developing stage.

4. Impairment of assets

An impairment loss if any is charged to the statement of profit and loss in the year in which an asset is identified as impaired.

5. Investments

Valued at cost, exclusive of dividend/interest reinvested thereon.

6. Inventories

Trading and other goods are valued at cost or net realizable value, whichever is lower.

7. Taxes on Income

Current tax: Provision for current tax is made based on tax liability computed after considering tax allowances and exemptions.

8. Provisions and contingent liabilities

Based on the estimates of the management, provisions are determined of the outflow of economic benefits which are required to settle the obligation as at the reporting date. Where no realizable estimate can be made, disclosure is made as contingent liability. A disclosure for a contingent liability is also made when there is a possible obligation that may, but probably will not, require an outflow of the Company's resources.

9. Cash flow statement

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. Cash flows from operating, investing and financing activities of the Company are segregated, accordingly.

